



MARKET MONITOR

No. 58 – May 2018

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Roundup

The first AMIS forecasts for wheat, maize and rice markets in 2018/19 point to a good season ahead, with world supplies remaining ample despite rising demand. Only the maize market may experience some tightening, as global production heads towards a decline because of lower plantings and unfavourable weather in some regions. For soybeans, however, the latest indications for the current season (2017/18) suggest lower production and ending stocks. As the new season begins, planting/growing conditions, trade policies and developments in outside markets in the coming months will be critical for all AMIS crops.

Markets at a glance

	From previous forecast	From previous season
Wheat	n/a	▲
Maize	n/a	▼
Rice	n/a	▲
Soybeans	▼	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production in 2018 to drop by 1.5 percent from last year's near-record level. The Russian Federation accounts for the largest proportion of this y/y decline.
- Utilization to increase by 0.8 percent in 2018/19 with food consumption keeping pace with the overall population growth but feed use contracting.
- Trade in 2018/19 (July/June) steady at the current season's high level, supported by strong import demand and continued large export availabilities, in particular from the Russian Federation.
- Stocks (ending in 2019) to reach a new record, with higher inventories in China more than offsetting decreases in the EU and the US.

WHEAT	FAO-AMIS		in million tonnes			
	2017/18	2018/19	USDA		IGC	
	est.	f'cast 3-May	2016/17 est.	2017/18 f'cast 10-Apr	2017/18 est.	2018/19 f'cast 26-Apr
Production	757.9	746.6	750.7	759.8	758.4	739.0
Supply	1,015.5	1,023.3	993.4	1,014.4	1,002.6	1,001.6
Utilization	737.7	743.3	738.8	743.1	740.0	744.8
Trade	173.6	174.1	183.3	182.0	175.3	179.2
Stocks	276.7	279.0	254.6	271.2	262.6	256.8

- **Maize** production in 2018 could fall by 3.7 percent from the 2017 record, with reduced plantings curbing output especially in the US while lower crop prospects are also projected for Argentina, Brazil, the EU and South Africa.
- Utilization in 2018/19 expected to exceed the current season's estimated record level, mostly reflecting continued robust demand prospects from the animal feed sector.
- Trade in 2018/19 (July/June) to contract slightly with the biggest decline in imports projected for China while smaller exports are anticipated from Argentina and the Russian Federation.
- Stocks (ending in 2019) falling by 10.7 percent from their record-high opening level, with most of the decrease in China and in South America.

MAIZE	FAO-AMIS		in million tonnes			
	2017/18	2018/19	USDA		IGC	
	est.	f'cast 3-May	2016/17 est.	2017/18 f'cast 10-Apr	2017/18 est.	2018/19 f'cast 26-Apr
Production	1,087.8	1,047.3	1,075.5	1,036.1	1,045.9	1,054.1
Supply	1,330.6	1,301.5	1,290.5	1,267.0	1,381.6	1,360.9
Utilization	1,067.2	1,072.4	1,058.5	1,069.2	1,074.8	1,099.0
Trade	145.5	143.6	159.8	152.6	147.2	150.2
Stocks	254.2	226.9	230.9	197.8	306.8	261.9

- **Rice** production in 2018 is tentatively forecast to grow by 1.3 percent to an all-time high, as larger crops mainly in Bangladesh, India and Viet Nam outweigh a cut in China.
- Utilization in 2018/19 forecast to expand by 1 percent, with food use keeping pace with population growth.
- Trade in calendar 2018 upgraded slightly, with higher export forecasts for Cambodia and India more than compensating for cuts in the US.
- Stocks (ending in 2019) seen rising for the third successive season, as continued buildups in China and India outweigh cuts, namely, in Brazil and Thailand.

RICE (milled)	FAO-AMIS		in million tonnes			
	2017/18	2018/19	USDA		IGC	
	est.	f'cast 3-May	2016/17 est.	2017/18 f'cast 10-Apr	2017/18 est.	2018/19 f'cast 26-Apr
Production	503.9	510.6	486.2	487.5	486.2	492.5
Supply	673.0	681.5	618.9	624.6	609.5	615.3
Utilization	503.9	509.1	481.8	480.2	486.9	492.7
Trade	47.6	47.2	47.4	48.1	46.4	46.9
Stocks	170.9	172.9	137.1	144.4	122.8	122.6

- **Soybean** 2017/18 production lowered, with a further downward correction for Argentina only partially offset by a higher crop estimate for Brazil.
- Utilization trimmed, mainly reflecting an additional reduction in Argentina's crush forecast. Global utilization in 2017/18 now set to grow at a below-average rate of 2.1 percent.
- Trade in 2017/18 down compared to last month, driven by reduced export forecasts for Argentina and lower than earlier anticipated import growth in parts of Asia, including China.
- Stocks (2017/18 carry-out) revised downward on lower forecasts for a number of countries, notably China and Argentina. Global inventories this season are now poised to drop by one-fifth.

SOYBEANS	FAO-AMIS			in million tonnes			
	2016/17	2017/18		USDA		IGC	
	est.	f'cast 5-Apr	f'cast 3-May	2016/17 est.	2017/18 f'cast 10-Apr	2017/18 est.	2018/19 f'cast 26-Apr
Production	347.8	336.8	334.3	350.8	334.8	338.8	355.2
Supply	393.1	388.2	385.1	429.3	431.5	386.5	396.4
Utilization	340.3	349.1	347.6	329.4	342.0	345.5	357.0
Trade	149.2	154.0	152.2	147.5	150.4	152.0	157.1
Stocks	51.3	42.0	40.8	96.7	90.8	41.2	39.5

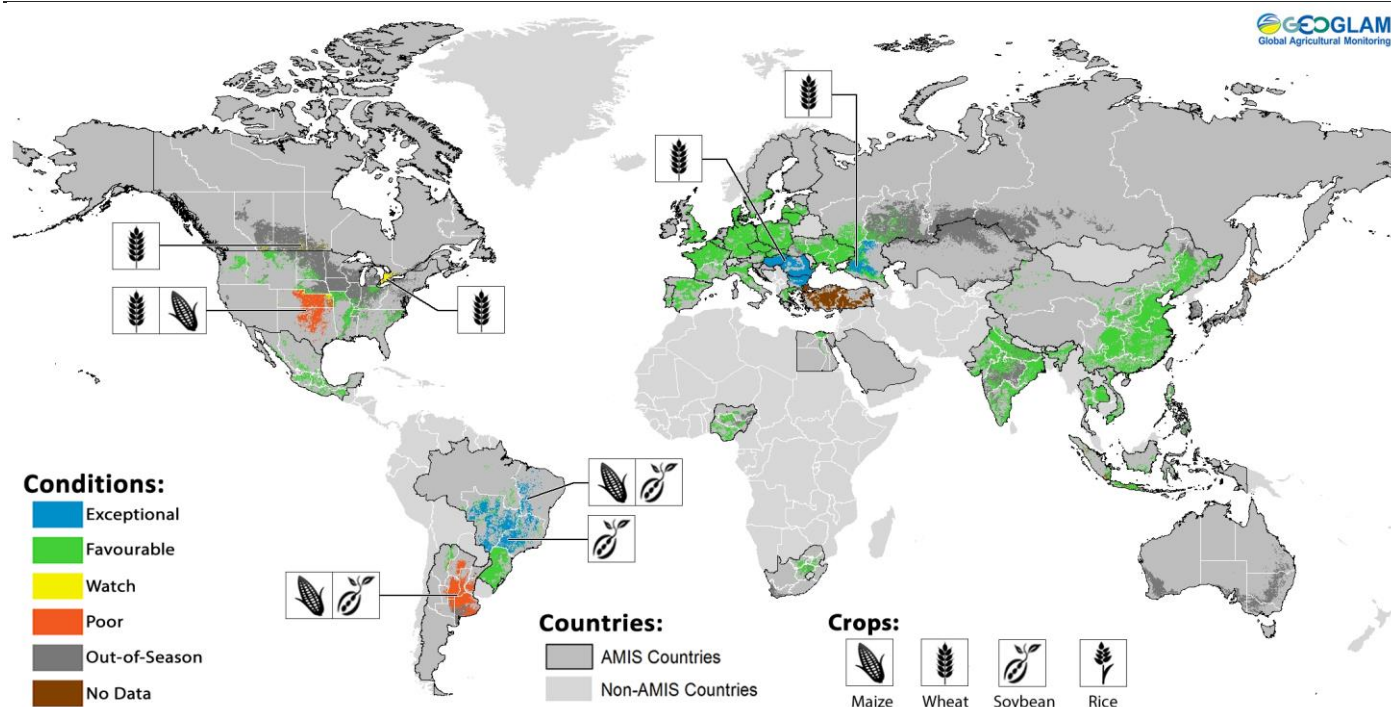


FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Crop monitor

Crop conditions in AMIS countries (as of 28 April)



Crop condition map synthesizing information for all four AMIS crops as of 28 April. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, conditions are generally favourable for winter wheat with spring wheat sowing beginning. In the US, conditions continue to deteriorate in the southern Great Plains due to prolonged drought. In contrast, areas in the eastern parts of EU and southern Russia Federation are in exceptional conditions owing to favourable temperatures and soil moisture.

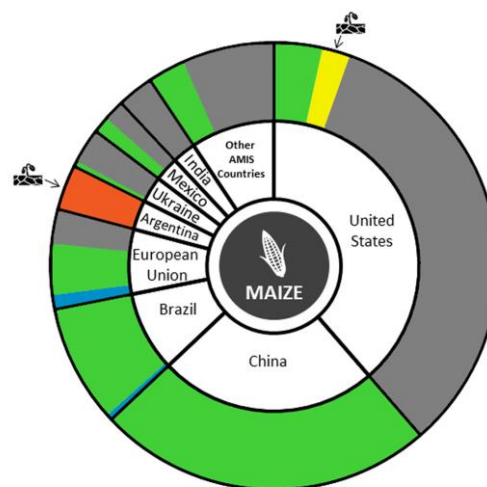
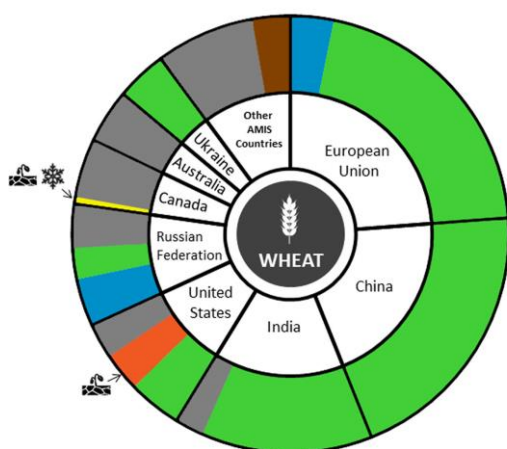
Maize - In the southern hemisphere, harvest begins for early-planted crops under mixed conditions owing to poor conditions in Argentina, while conditions are favourable for Brazil. In the northern hemisphere, sowing is ongoing in the US, EU, Ukraine, China and Mexico under mostly favourable conditions.

Rice – In China and India, conditions are favourable. In India, the Rabi crop is progressing favourably. In Southeast Asia, crop conditions remain favourable as dry-season rice begins harvesting in the northern countries and wet-season rice harvest is well underway in Indonesia.

Soybean - In the southern hemisphere, harvest is underway with exceptional crop conditions in Brazil as opposed to poor crop conditions in Argentina due to dry weather.

La Niña update

La Niña conditions are still present, though they are weak and in transition to a neutral state. There is a 70 percent chance that the neutral state will be established by the end of May. Thereafter, neutral conditions are expected (with greater than 50 percent probability) to persist throughout the northern hemisphere summer of 2018. Seasonal forecast models point to a possible shift to El Niño conditions by December 2018, but given the long lead time that outcome is quite uncertain at this time.

Conditions:**Drivers:****Wheat**

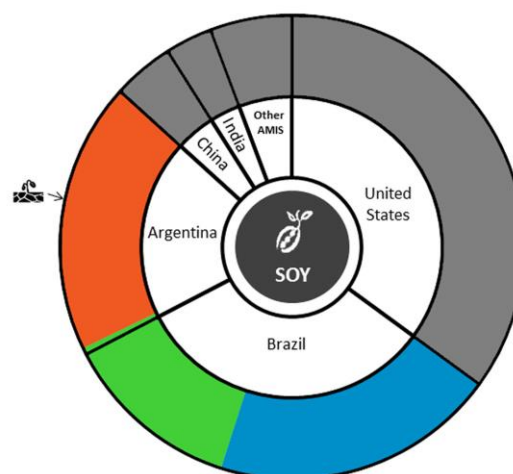
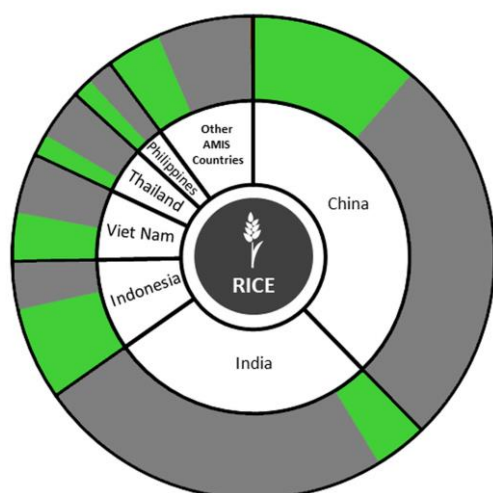
In the **EU**, conditions remain favourable despite the recent cold and wet weather which hampered crop development. In **Ukraine**, winter wheat conditions are favourable with very warm weather and good soil moisture in April accelerating crop development, and compensating for earlier delays. In the **Russian Federation**, conditions are favourable for winter wheat with the majority of the crop out of dormancy. Conditions in the south are above average owing to ample water availability and favourable temperatures. In **China**, winter wheat is under favourable conditions while approaching harvesting in the south. Spring wheat is sowing in the north under favourable conditions. In **India**, harvest is finishing in the major producing regions under favourable conditions. In the **US**, conditions continued to deteriorate in the southern Great Plains due to persistent extreme dryness. At this stage of the season, it is not clear if late season moisture would enable the crop to recover. The rest of the US is under favourable conditions. Spring wheat sowing is proceeding under favourable conditions. In **Canada**, conditions are mixed as limited snow cover during much of the winter in the prairies may contribute to winterkill. In the main winter wheat producing province of Ontario, emergence is delayed due to persistent cold weather in April.

Maize

In **Brazil**, conditions for the spring-planted crop are favourable as harvest progresses, and yield estimates are in line with the five year average while total sown area is down from last year. The summer-planted crop (larger) has also recorded a reduction in total sown area, though conditions are favourable with some minor dry areas in the south. In **Argentina**, despite recent rains, conditions are mostly poor across the country with some minor exceptions as harvest begins. Prolonged drought throughout the season has taken its toll on the crops with the exception of the far northwest. Yields and total production are expected to be significantly reduced compared to the previous year. In **South Africa**, as harvest continues conditions are generally favourable owing to above-average rainfall since mid-January and a very late onset of frost. In the **US**, sowing is ramping up across the country under mostly favourable conditions with the exception of the southern half of the Great Plains where there are some delays due to dry conditions. In **Mexico**, conditions are favourable for the autumn-winter crop which is in the vegetative to reproductive stages. Sowing of the spring-summer crop began under favourable conditions as well. In **China**, the spring-planted crop is developing under favourable conditions and sowing is ongoing under favourable conditions for the summer-planted crop. In the **EU**, sowing began under generally favourable conditions with some delays due to unfavourable weather.

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, early rice is under favourable conditions while one-season rice sowing has begun in the south and parts of the northeast. In **India**, conditions are favourable for the Rabi crop in the maturity stage with a total sown area similar to last year's. In **Indonesia**, harvest of wet-season rice continues with favourable yields owing to enough irrigation water and sunlight during the critical development period. Sowing of dry-season rice is delayed by one to two months due to unstable rainfall which is needed to build up the season's irrigation water. In **Viet Nam**, winter-spring rice (dry season rice) is under favourable conditions with a slight decrease in total sown area in the north, while a slight increase in total sown area in the south is reported. Harvest has begun in the south with early yields estimated to be slightly above last year's. In **Thailand**, dry-season rice is being harvested across the country under favourable conditions owing to sufficient rainfall and irrigation water throughout the season. In the **Philippines**, conditions are generally favourable for dry-season rice which is currently being harvested. For the dry-rice sown during November-December, yields are expected to be around average. In the **US**, sowing is proceeding under favourable conditions.

Soybeans

In **Brazil**, conditions are favourable to exceptional as harvest advances. Exceptional conditions in the Central-West, Northeast and Southeast regions combined with an increase in sown area across the country will result in a highly productive season. In **Argentina**, conditions are mostly poor across the country for both the spring-planted crop (larger) and the summer-planted crops with some exceptions in the northwest regions. The prolonged drought throughout the season caused widespread damage and significantly reduced production. The impact on the summer-planted crops is more severe as this crop did not receive the needed rains. Prospects are for a significant reduction in yields and overall production.

Information on crop conditions in non-AMIS countries

can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 3 May 2018

Policy development

Wheat

- On 4 April, the Ministry of Agriculture in **Brazil** decreased the minimum price of bread type wheat for the Southern Region from BRL 37.26 to BRL 36.17 per 60 kilogram bag (from USD 183.10 to 177.74 per tonne). Wheat seed price has also been readjusted downward from BRL 1.48 to 1.44 per kilogram (from USD 436.4 to 424.58 per tonne). The prices are effective from July 2018 to June 2019 (official gazette N° 64).
- On 3 April, **Canada** revised the maximum residue levels of Propiconazole in wheat from 0.05 ppm to 0.09 ppm. The final date for comments on the proposed measure is 19 June 2018 (WTO notification G/SPS/N/CAN/1165).
- On 9 April, **China** announced that, starting from 18 April, the price of state wheat sales will be adjusted. Floor prices for wheat harvested from 2014 to 2016 will be set at CNY 2 350 (USD 372.22) a tonne, down from CNY 2 410 (USD 381.72) currently.
- On 11 April, the Ministry of Supply and Internal Trading in **Egypt** announced new wheat crop procurement prices for 2018, to be harvested from mid-April. Prices range from USD 215 to USD 226 per tonne depending on crop quality.
- On 6 April, **South Africa** reduced the import tariff on wheat by 45 percent from ZAR 716.3 (USD 59.3) to ZAR 394.9 (USD 32.7) per tonne.

Maize

- On 3 April, the Ministry of Agriculture in **Mexico** announced programmes to provide support to address maize oversupply, commercialization and infrastructural issues including storage. Market price support will be granted in the order of MXN 240 (USD 13.06) per tonne to up to 500 000 tonnes of maize for human and starch consumption; 300 MXN (USD 16.32) per tonne for up to 110 000 tonnes of maize consumption by the livestock sector; and MXN 200 (USD 10.88) per tonne for up to 54 000 tonnes of yellow maize.
- On 9 April, **China** announced plans to sell more maize stocks from state reserves from 12 April. The floor price for maize is set at CNY 1 350 (USD 214.40) per tonne, slightly higher than last year.

Soybeans

- On 3 April, in an effort to decrease its maize stockpile, the Ministry of Agriculture in **China** confirmed provision of higher subsidies to soybean farmers than maize producers in the north-eastern provinces.

Biofuels

- On 2 April, **China** increased tariff rates on US modified ethanol imports from 5 percent to 20 percent with immediate effect.
- On 17 April, **Japan** announced that it will allow imports

of *Ethyl tert-butyl ether* (ETBE) made from U.S. maize based ethanol. This updates Japan's import policy that previously required only sugarcane-based ethanol to meet the eligibility criteria.

- On 15 April, the **UK** put into effect a revised Renewable Transport Fuel Obligation (RTFO) that aims to almost double the use of biofuels in the transport sector from its current 4.75 percent to 9.75 percent by 2020.

Across the board

- On 13 April, the National Service of Health and Agri-Food Quality (SENASA) in **Argentina** published Resolution No. 61/2018, which opens the way for simplified and streamlined food safety and quality procedures, including by fostering the use of digital information systems.
- On 4 April, the Ministry of Commerce and Ministry of Finance in **China** published a list of tariffs that, if applied, could affect close to USD 16.5 billion worth of US agriculture and food imports, including soybeans, maize and maize products, wheat and sorghum. On 18 April, China started imposing an anti-dumping duty of 178.6 percent on imports of US sorghum.

Logistics/Infrastructure

- A new port project connecting **China** and the **Russian Federation** to enhance grain transportation with an annual capacity of 150 000 tonnes is expected to be functional by September 2018. The second stage with an annual capacity of 650 000 tonnes is scheduled to be completed by September 2019.

STOP PRESS

- On 28 March, **Argentina** modified the procedures related to the application of the export taxes on soybeans and soy products. Such taxes will be applied on the shipment date, rather than the date a deal closes. This will allow exporters to take advantage of falling tax rates.
- On 28 March, **China** announced that VAT rates on farm produce would be cut from 11 percent to 10 percent, effective from 1 May. This cut is part of a broader tax reduction package amounting to CNY 400 billion (USD 64 billion) and is meant to fuel economic growth.
- The Ministry of Agriculture in the **Russian Federation** introduced new intervention prices for the 2018 wheat crop, i.e.: RUB 10 900 (USD 190) per tonne for soft food quality wheat Class 1; RUB 9 900 (USD 173) per tonne for wheat Class 2; RUB 8 900 (USD 156) per tonne for wheat Class 3; RUB 7 600 (USD 133) per tonne for wheat Class 4; and RUB 6 400 (USD 112) per tonne for wheat Class 5. The new prices, which include VAT, are between 13-16 percent lower than those applied in 2017.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	April 2018 Average*	% Change	
		M/M	Y/Y
GOI	214	+2.8%	+17.6%
Wheat	188	+2.3%	+18.6%
Maize	205	+2.3%	+18.9%
Rice	177	+2.9%	+15.8%
Soybeans	214	+3.6%	+18.5%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices firmed during April, mainly on concerns about unfavourable weather for 2018/19 crops. Worries were centred on the US, where the outlook for winter wheat continued to be adversely affected by drought. Price support also came from concerns about cold and wet conditions for North American spring planting and from overly dry conditions for seeding in Australia and Argentina. Beneficial rains applied some pressure on prices in Argentina from mid-month, particularly new season positions. World FOB values were also underpinned by logistical constraints in certain areas, including in the Black Sea region and the EU. Overall advances were capped by heavy old crop availabilities and competition for exports.

Maize

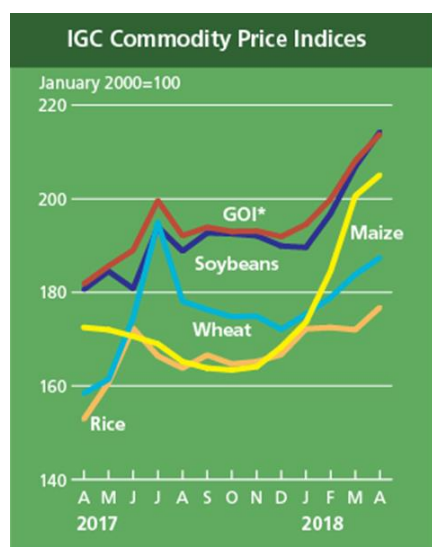
The IGC maize sub-Index gained for a sixth-successive month, with strength noted across all major origins. Advances in US values were mainly tied to USDA's smaller than anticipated 2018/19 plantings projection and weather related seeding delays across the Midwest. Buoyant nearby export demand and tight logistics also contributed to the upside. While quotations in Argentina moved higher, underpinned by this season's much smaller surplus, gains were suppressed by worries about competitiveness on the world market. In Ukraine, FOB prices were underpinned by good demand and a seasonal tightening of supplies.

Rice

Export prices for white and parboiled rice registered solid gains at most Asian origins during April, on demand from key Asian buyers amid state efforts to boost stocks. Indonesia's purchasing agency, Bulog, confirmed deals to secure up to 680 000 tonnes of broken rice, while the National Food Authority of the Philippines tendered for 250 000 tonnes from Thailand/Viet Nam through diplomatic channels. In India, by contrast, markets were weighed by sluggish export interest and new crop arrivals, while fob quotations in the Americas were little changed amid few fresh developments.

Soybeans

In a period of two-sided movements, average world soybean prices were higher during April, led by strength at South American origins. Firmer buying interest, mostly for Brazilian new crop supplies, provided support, as did dwindling crop prospects in Argentina and associated strength in soybean meal values. USDA's smaller than anticipated projection of US sowings in 2018/19 also underpinned prices, with logistical difficulties on inland waterways adding to the positive tone. However, overall upside was capped by heightened worries about the future trading relationship between the US and China.



*GOI: Grains and Oilseeds Index

IGC commodity price indices					
	GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100)					
2017 April	181.8	158.4	172.5	152.9	180.6
May	185.6	161.4	172.0	160.7	184.5
June	189.0	174.6	170.6	172.3	180.8
July	199.6	194.9	169.0	166.4	194.0
August	192.1	178.1	165.2	163.8	188.8
September	193.9	176.3	163.8	166.6	192.7
October	193.0	174.8	163.4	164.7	192.5
November	193.1	174.9	164.1	165.2	192.1
December	191.9	172.1	168.3	166.7	189.9
2018 January	194.5	175.3	173.6	172.2	189.6
February	199.9	178.9	184.5	172.5	196.8
March	208.1	183.8	200.6	172.0	206.8
April	213.8	187.6	205.1	177.0	214.1

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2016-2018)



Daily quotations of selected export prices

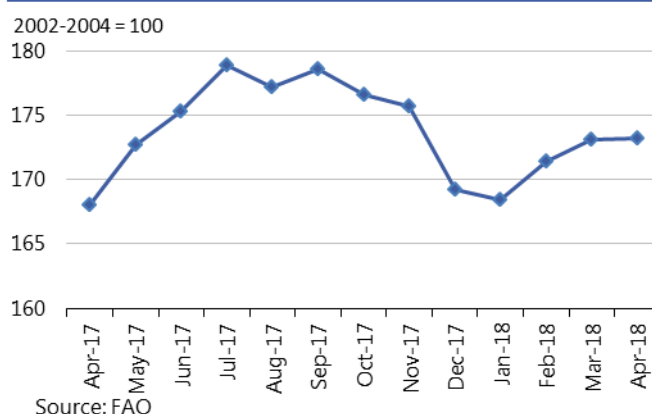
	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	24-Apr	240	235	237	184	2.1%	30.4%
Maize (US No. 2, Yellow)	23-Apr	174	177	169	155	-1.5%	12.1%
Rice (Thai 100% B)	24-Apr	450	434	420	374	3.7%	20.3%
Soybeans (US No.2, Yellow)	24-Apr	412	421	404	366	-2.1%	12.6%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	April 2018 Average	Monthly Change	Annual Change
Argentina	ARS	20.2	0.2%	-31.7%
Australia	AUD	1.3	-0.7%	2.2%
Brazil	BRL	3.4	-3.6%	-8.3%
Canada	CAD	1.3	1.7%	5.4%
China	CNY	6.3	0.4%	8.7%
Egypt	EGP	17.6	-0.2%	2.3%
EU	EUR	0.8	-0.3%	12.9%
India	INR	65.5	-0.7%	-1.5%
Indonesia	IDR	13,791.9	-0.3%	-3.7%
Japan	JPY	107.3	-1.2%	2.5%
Kazakhstan	KZT	325.2	-1.4%	-4.1%
Rep. Korea	KRW	1,067.4	0.2%	5.8%
Mexico	MXN	18.3	1.3%	2.2%
Nigeria	NGN	305.2	0.8%	0.5%
Philippines	PHP	52.1	0.1%	-4.5%
Russian Fed.	RUB	60.5	-6.0%	-7.2%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	12.0	-1.8%	10.4%
Thailand	THB	31.3	0.0%	9.2%
Turkey	TRY	4.1	-4.5%	-11.3%
UK	GBP	0.7	1.0%	10.4%
Ukraine	UAH	26.1	0.7%	2.6%
Viet Nam	VND	22,786.5	0.0%	-0.5%

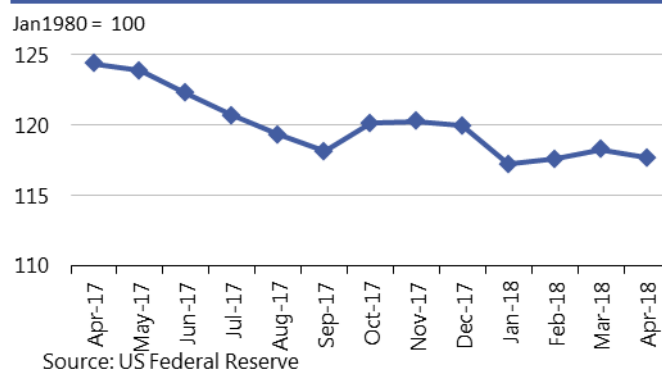
FAO Food Price Index

April 2017-April 2018



Nominal Broad Dollar Index

April 2017-April 2018



Futures markets

Futures Prices – nearby

	Apr-18 Average	% Change	
		M/M	Y/Y
Wheat	174	-0.1%	+12.1%
Maize	152	+1.5%	+6.4%
Rice	283	+4.3%	+29.1%
Soybeans	382	-0.1%	+10.1%

Source: CME

Futures Prices

Prices for wheat, maize and soybeans changed little from last month, despite trade issues between China and the US involving a number of important agricultural products. Soybean prices plunged initially in response to China's proposed imposition of a 25 percent tariff on soybeans but recovered as market analysts projected greater impact on trade flows than actual supply and demand fundamentals. China has stopped buying US soybeans since the beginning of April. This has had surprisingly little effect on market values, however, as other buyers have switched their soybean imports from South America to US. Elsewhere, the impact from the Argentinian drought faded as reductions on soybean and maize crops were quantified and attention focused on weather. Lingering cold weather was monitored for severity in the US maize and soybean belt as well as other northern hemisphere growing regions such as the Black Sea and Europe (parts of which experienced a late April polar air mass). Exogenous markets appeared buoyant with West Texas Crude oil (quoted at approximately USD 68 per barrel) attaining the highest price since 2014, the year it plunged from USD 105 per barrel to less than USD 50 in a span of six months. Gold also experienced a multi-month high price, while the USD remained range bound since the start of the year. Planting progress and acreage allotments between maize and soybeans as well as the emergence of the winter wheat crop in the US were deemed the sharpest market focus into May. Despite trade tensions, wheat, maize and soybeans were 12.1, 6.4 and 10.1 percent higher y/y. Rice prices, supported by rising export prices in Thailand – the world's leading rice exporter – were 4.3 percent higher m/m and 29.1 percent y/y.

Volumes and volatility

Trade volumes for wheat, maize and soybeans soared m/m by 26, 25 and 49 percent respectively as trade tensions raised the general level of market uncertainty. Historical volatility and implied volatility were higher for maize and soybeans, and about unchanged for wheat m/m while both volatility categories were higher for all three commodities y/y.

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Apr-18	Mar-18	Apr-17
Wheat	30.1	30.7	23.5
Maize	17.6	11.1	16.8
Rice	15.4	17.2	13.8
Soybeans	17.5	13.8	11.4

Basis levels and transport

Domestic basis levels for maize and soybeans rose moderately m/m as producers began field preparation. In Illinois, the interior bids to local elevators were quoted minus USD 11 per tonne for maize and minus USD 14 for soybeans, both under the respective May futures prices. In Iowa, the bids were similarly firmer by a few USD per tonne at minus USD 15 for maize and minus USD 27 for soybeans (under the respective May futures). Gulf export delivery basis levels were much firmer m/m for maize – quoted at USD 25 while soybeans were unevenly quoted between USD 18 and 28 per tonne, the wide variance a response to the uncertainty of trade tariffs. However, USDA reported significant soybean export activity, including sales to Argentina and the EU, as traders reacted to historically high South American soybean basis levels. Soft red wheat values delivered into the northern mills were firm – quoted above the May futures price and steady m/m delivered Gulf at around USD 27 per tonne over the May futures. Barge freight increased again m/m to USD 33 per tonne as a result of high water levels and higher fuel costs which are increasing transportation costs in general. In the export market, cumulative shipments continued to lag for all three commodities – standing at 85 percent of last year. However, maize and soybean export commitments (unshipped balances), were well ahead of last year's levels for the same time period, but behind in wheat.

Forward curves

Forward curves for wheat, maize and soybeans scarcely changed m/m despite heightened volumes and volatility. Soybean curves, which are prone to dramatic moves, experienced limited activity throughout the month, even as tariffs loomed over the US market.

Investment flows

Managed money, in a reversal from its frenzied positioning during March, made only modest changes to its trading strategies m/m. It reduced its net short position slightly in wheat while moderately increasing its net long positions in maize and soybeans. Barclays hedge fund tracker reports that money managers in agricultural markets have delivered about 2 percent in returns for the calendar year.



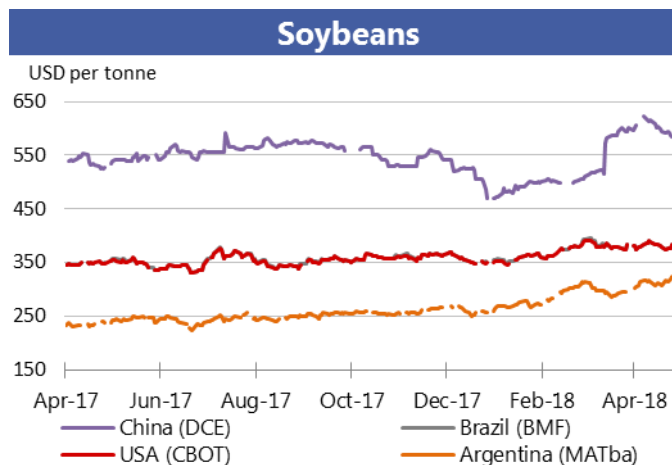
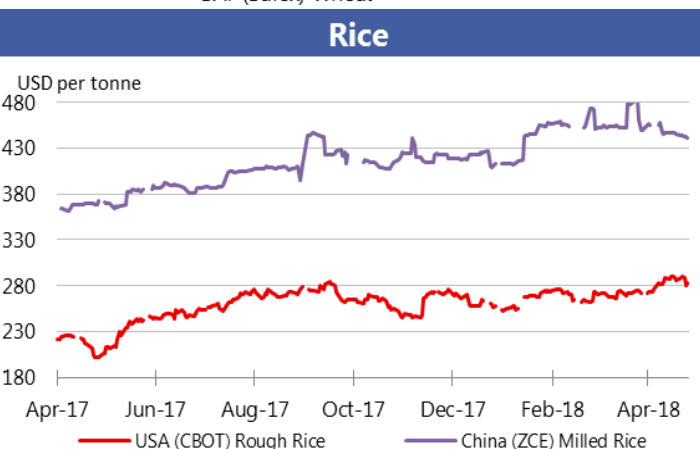
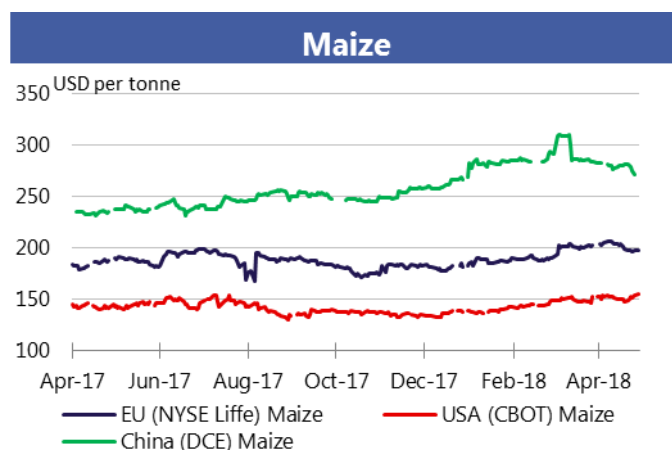
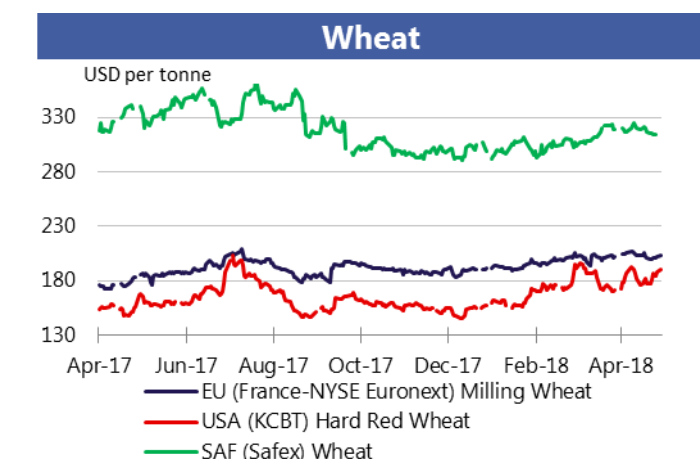
*As of this Market Monitor publication, China has announced that it plans to impose a 25 percent tariff on US origin soybeans (date so far undetermined), causing its price to tumble overnight as much as 5 per cent – approximately USD 20 per tonne.

For information on technical terms please view the Glossary at the following link:

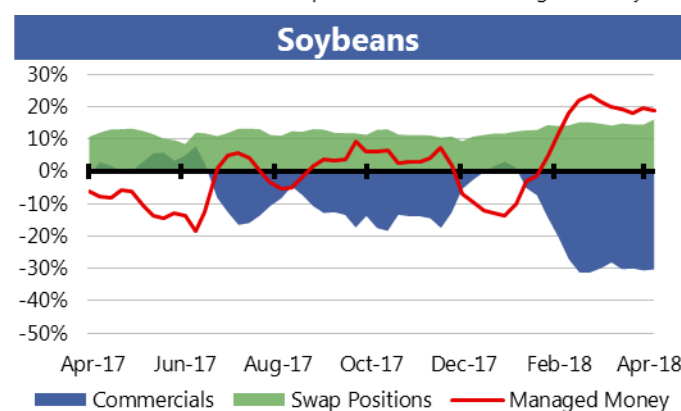
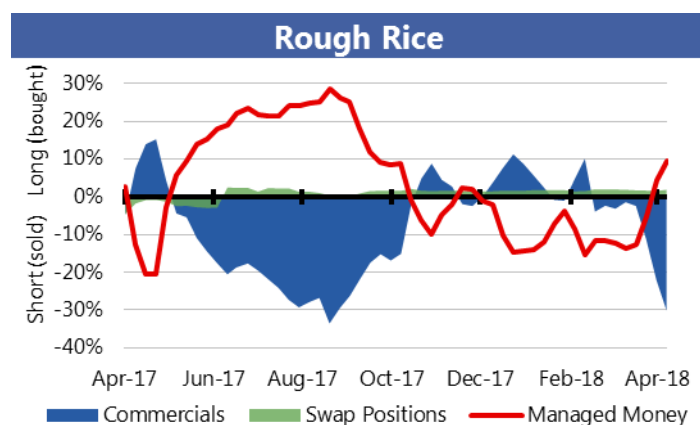
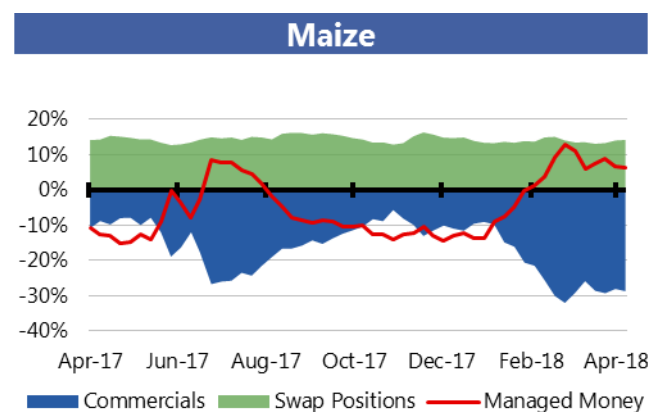
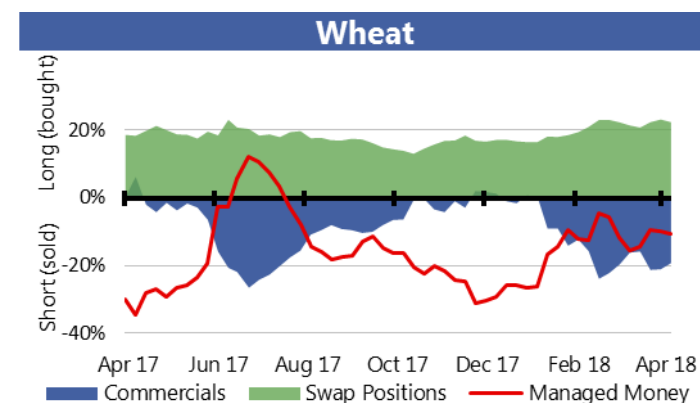
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

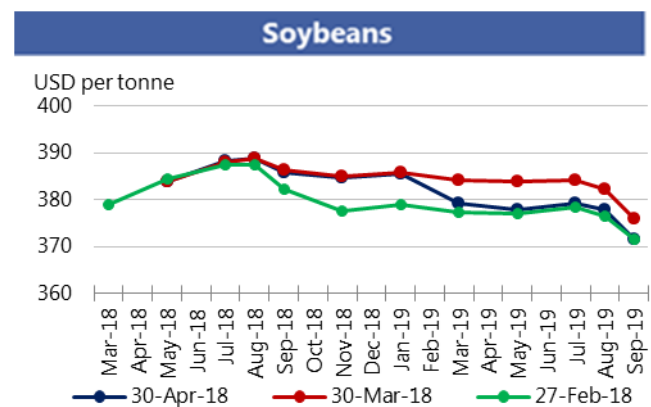
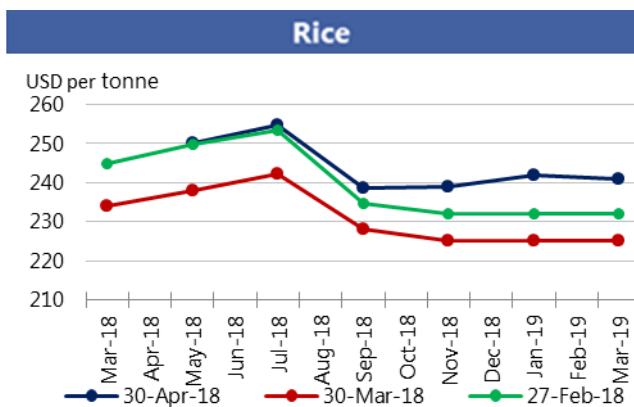
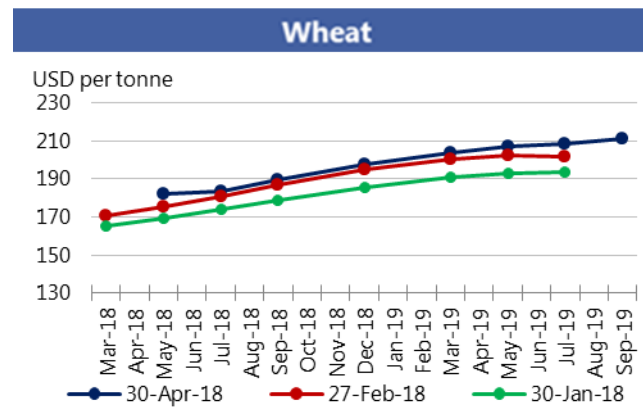
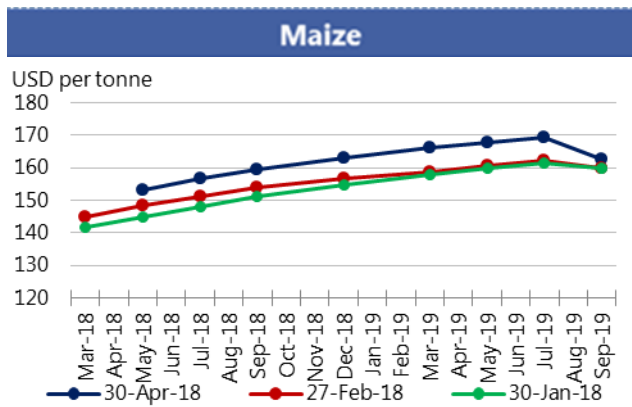


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

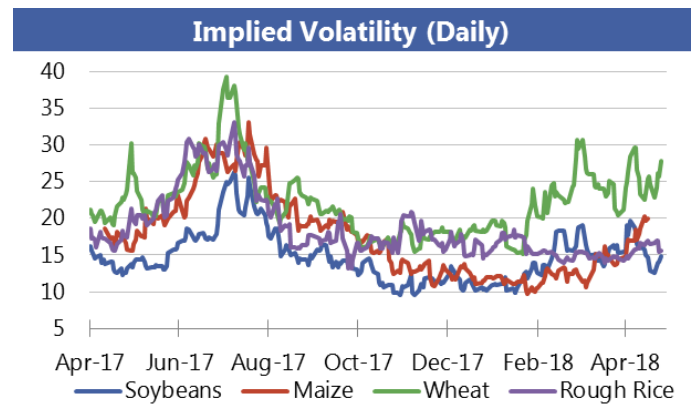
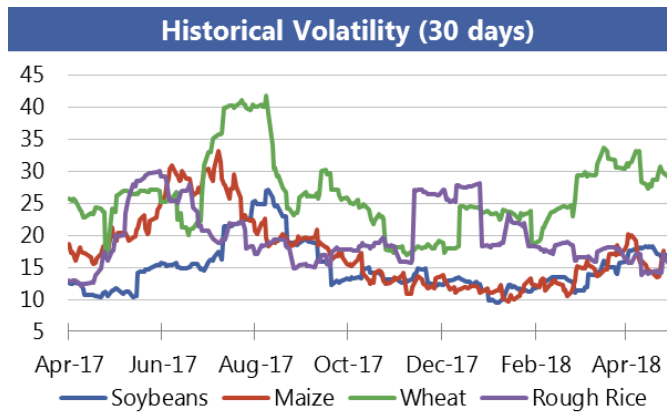


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Monthly US ethanol update

- **RBOB gasoline futures prices** continued to follow oil prices, which increased in April.
- **Gasoline prices** did not pull ethanol prices higher, however, nearby futures prices were unchanged month to month and only USD 0.01 per gallon higher month over month in the cash market. As a result, the ratio of ethanol prices to gasoline prices fell below 73 percent.
- **Ethanol margins** moved higher as the modest gains in ethanol cash prices were combined with sharply higher DDGs prices which outpaced increases in maize costs. Maize prices have been rising since the beginning of the year.
- **Ethanol production**, at an annualized pace, fell by 283 million gallons to 15.76 billion gallons.
- **DDGs prices** remained strong relative to maize and through April stood at 124 percent of the maize value (on a weight basis).

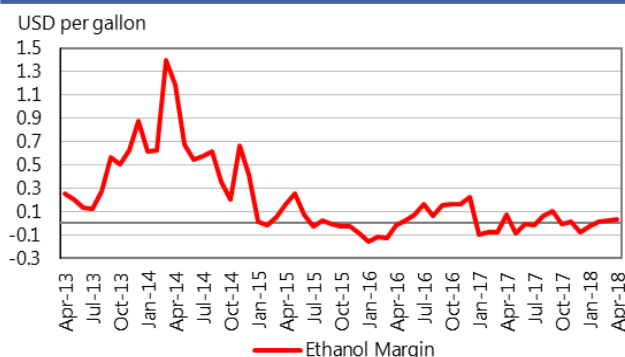
Spot prices IA, NE and IL/eastern corn belt average	Apr 2018*	Mar 2018	Apr 2017
Maize price (USD per tonne)	143.961	140.52	134.5
DDGs (USD per tonne)	161.74	153.47	98.83
Ethanol price (USD per gallon)	1.41	1.40	1.56
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.48	1.48	1.62
RBOB Gasoline (USD per gallon)	2.04	1.94	1.67
Ethanol/RBOB price ratio	72.4%	76.2%	97.1%
Ethanol margins IA, NE and IL/eastern corn belt Average (USD per gallon)			
Ethanol receipts	1.41	1.40	1.56
DDGs receipts	0.50	0.47	0.31
Maize costs	1.32	1.30	1.24
Other costs	0.55	0.55	0.55
Production margin	0.04	0.03	0.08
Ethanol production (million gallons)			
Monthly production total	1 296	1 363	1 239
Annualized production pace	15 766	16 049	15 075

Based on USDA data and private sources

* Estimated using available weekly data to date.

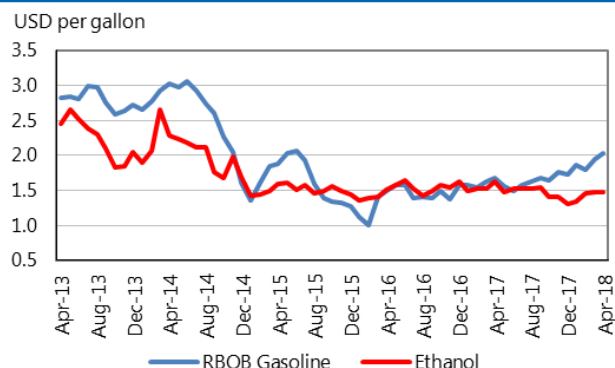
Ethanol Production Margin

(IA, NE, IL/eastern corn belt average)

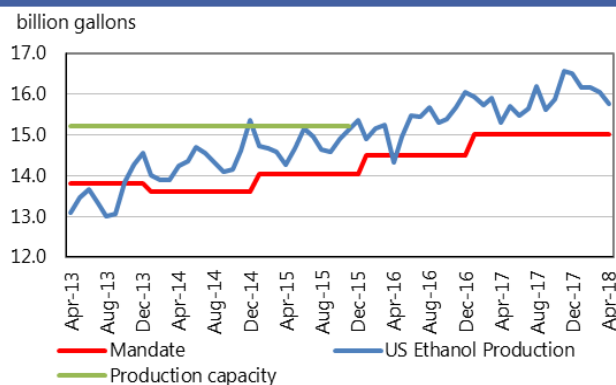


Ethanol and RBOB gasoline

(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price

(Spot prices)

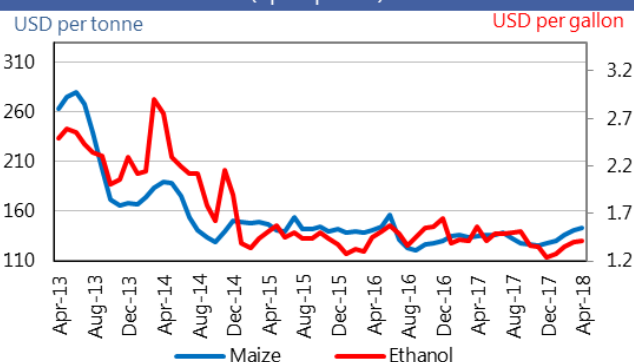


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

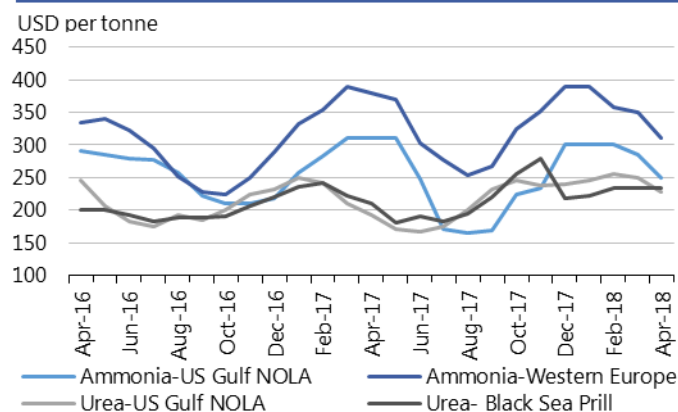
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

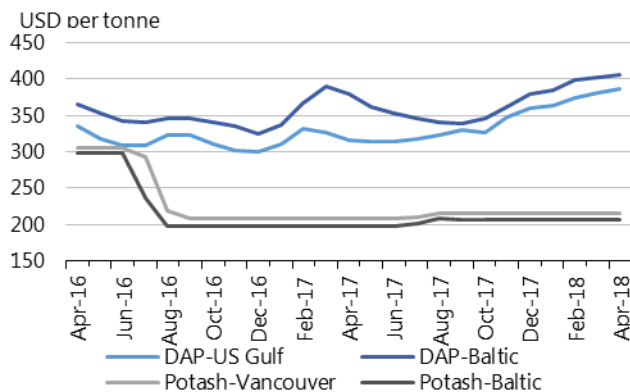
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

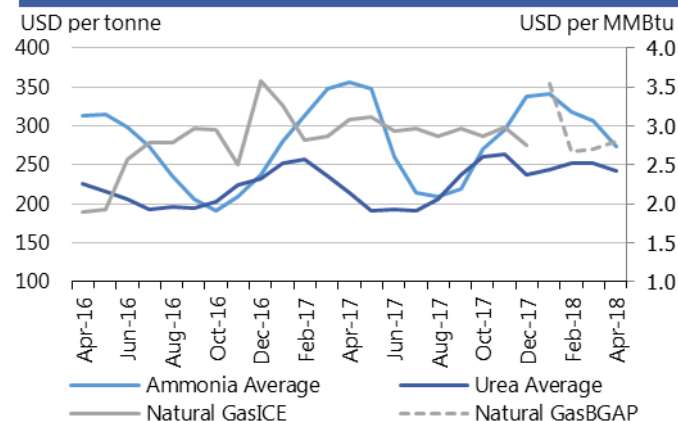
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



- **Ammonia** prices fell due to excess supply in the global market combined with lower demand stemming from abnormally cold springs in the Northern Hemisphere and consequent delayed sowing of the summer harvest. Plants in several areas are operating close to capacity, and several new plants opened in the US, the Russian Federation, and Saudi Arabia, further contributing to global oversupply.
- **Urea** prices declined slightly due to excess production, particularly in the US and Iran where production stood at double the consumption level. In addition, demand fell due to the cold weather in the Northern Hemisphere and delayed sowing of maize in Brazil.
- **DAP** m/m prices increased less than in previous months due to delayed deliveries from Morocco as a result of severe weather and heavy swells at the coast.
- **Potash** prices remained unchanged due to relatively stable global demand and supply over the past month.
- **Natural gas** prices increased slightly m/m due to irregular weather patterns in the US, which resulted in excess demand.

	April average	April std. dev	% change last month	% change last year	12-month high	12-month low
Ammonia-US Gulf NOLA	250.0	-	-12.4%	-19.4%	310.0	165.0
Ammonia-Western Europe	310.0	35.0	-11.4%	-18.2%	390.0	254.0
Urea-US Gulf	228.0	5.6	-8.9%	+18.6%	256.3	166.8
Urea-Black Sea	235.0	-	0.0%	+11.9%	280.0	181.3
DAP-US Gulf	387.0	2.0	+1.7%	+22.7%	387.0	313.0
DAP-Baltic	405.0	-	+0.5%	+6.9%	405.0	339.0
Potash-Baltic	206.0	-	0.0%	+4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	+3.3%	216.0	209.0
Ammonia	273.3	21.1	-10.8%	-23.1%	347.5	210.0
Urea	242.7	0.9	-3.5%	+13.1%	263.3	192.0
Natural Gas*	2.8	0.0	+3.7%	-6.2%	3.5	2.7

All prices shown are in US dollars.

*Natural Gas is a new Henry Hub Index (BGAP), replacing the one used before, which has been discontinued.

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. **Natural Gas:** Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Monthly ocean freight market update

Dry bulk freight market developments

	Apr 2018 Average*	M/M	% Change Y/Y
Baltic Dry Index (BDI) *	1 070	-7.3%	- 12.4%
<i>sub-Indices:</i>			
Capesize	1 217	- 7.0%	- 41.5%
Panamax	1 334	+15.3%	- 7.6%
Supramax	1 027	-3.6%	+15.8%
Baltic Handysize Index (BHSI)**	632	- 1.8%	+13.0%

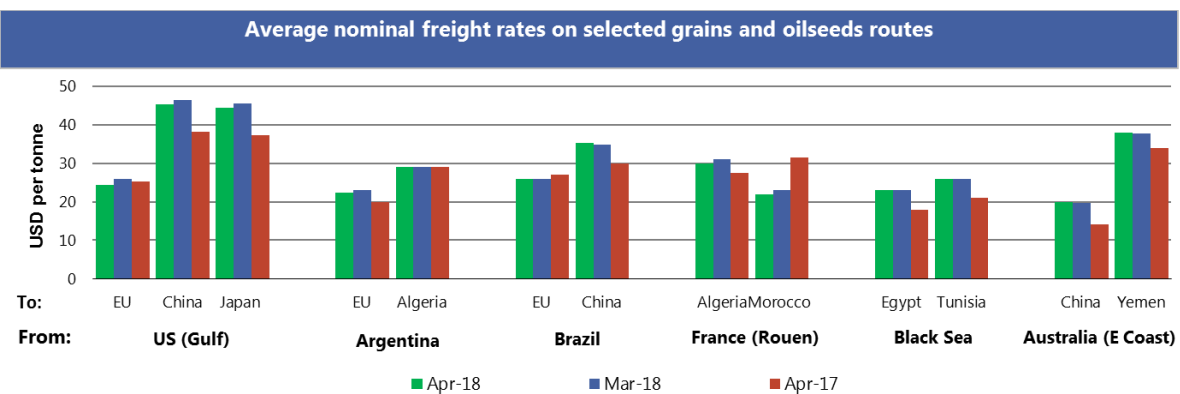
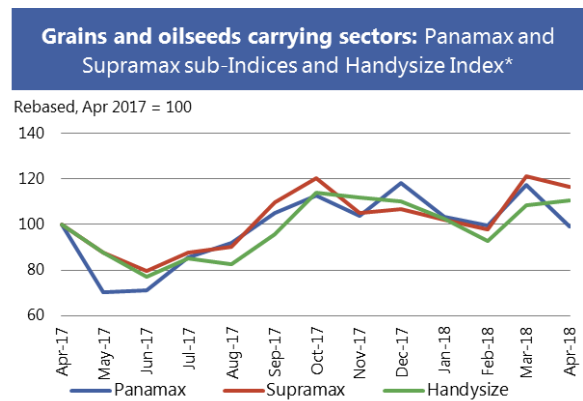
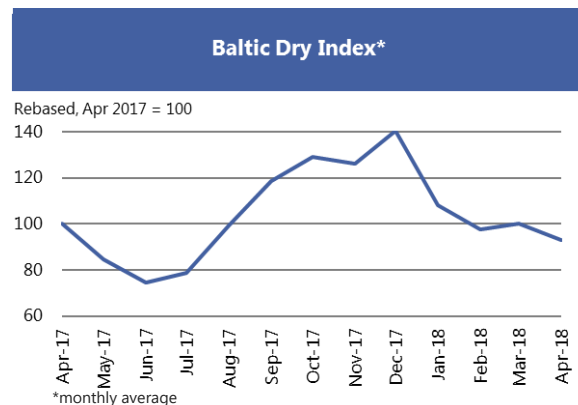
Source: Baltic Exchange.

Note: *4 January 1985 = 1000 **23 May 2006 = 1000. Baltic Handysize sub-Index excluded from the BDI from 1 March 2018

- Dry bulk freight markets displayed two-sided trends in April, with sentiment shaped by the largest carrying vessels. Despite recent solid gains, which lifted the Baltic Dry Index (BDI) to its highest since early 2018, average values were weaker m/m.
- The **Capesize** sector was typically volatile. The market initially dropped to a near nine-month low, but values recovered strongly thereafter on surging rates for iron ore dispatches, particularly from Brazil and South Africa.
- A generally weaker tone prevailed in the **Panamax** segment, with reduced inquiry levels weighing on rates at most origins, including the US Gulf and South America. While a build-up of tonnage in the Atlantic added to the

negative tone, downside was capped by brisk period interest and buoyant mineral business in the Pacific.

- Coal and mineral demand in Southeast Asia and the Indian Ocean supported smaller carrying sectors, although values were mixed. **Supramax** rates were weaker, pressured by sluggish activity, notably at the US Gulf and the North Pacific, with icy conditions in the Baltic a notable factor. **Handysize** values mostly eased during the period, although average rates were up fractionally m/m, with charterers said to be busy at the US Gulf and in South America. Support came from sustained scrap demand in Europe and cement/clinker enquiry in the Mediterranean, coupled with steady grain flows out of the Black Sea.



Source: International Grains Council.



Notes:

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “World Supply and Demand” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “FAO-AMIS”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2018 AMIS Market Monitor Release Dates

February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6

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